MODEL QUESTIONS

Part-A Multiple Choice Questions

1. In which of the following is not a type of market structure Price will be very high?
   - **a.** Perfect competition
   - **b.** Monopoly
   - **c.** Duopoly
   - **d.** Oligopoly

2. Equilibrium condition of a firm is.....
   - **a.** MC = MR **b.** MC > MR
   - **c.** MC < MR **d.** MR = Price

3. Which of the following is a feature of monopolistic competition?
   - **a.** One seller
   - **b.** Few sellers
   - **c.** Product differentiation
   - **d.** No entry

4. A firm under monopoly can earn ..... in the short run.
   - **a.** Normal profit
   - **b.** Loss
   - **c.** Super normal profit
   - **d.** More loss

5. There is no excess capacity under .....
   - **a.** Monopoly
   - **b.** Monopolistic competition
   - **c.** Oligopoly
   - **d.** Perfect competition

6. Profit of a firm is obtained when .....
   - **a.** TR < TC
   - **b.** TR - MC
   - **c.** TR > TC
   - **d.** TR = TC

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7. Another name of price is.....
   - **a.** Average Revenue
   - **b.** Marginal Revenue
   - **c.** Total Revenue
   - **d.** Average Cost

8. In which type of market, AR and MR are equal .....
   - **a.** Duopoly
   - **b.** Perfect competition
   - **c.** Monopolistic competition
   - **d.** Oligopoly

9. In monopoly, MR curve lies below .....
   - **a.** TR
   - **b.** MC
   - **c.** AR
   - **d.** AC

10. Perfect competition assumes .....
    - **a.** Luxury goods
    - **b.** Producer goods
    - **c.** Differentiated goods
    - **d.** Homogeneous goods

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